CASCADIA ANALYTICS

Valero Energy Corporation

Equity Research Note | VLO | 28 OCTOBER 2026

Cyclical Peak Earnings

Valero Energy screens as a Buy with a $448.17 blended target, 16% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$387.34	$448.17	+16%	BUY

Investment Thesis

Cyclical Peak Earnings. Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26]. Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026]. Priced for the Cycle. At $387.34 [Mkt 16-Oct-26], the stock

- Cyclical Peak Earnings
- Best Operator in Refining
- Priced for the Cycle

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The latest print

Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total.

Priced for the Cycle. At $387.34, the stock sits between our $453.71 DCF base and $575.40 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

$44.5B	$3.72B	8.36%	97%	$122.7B	$2.35B
REVENUE (Q2 2026)	NET INCOME (Q2 2026)	NET MARGIN (Q2 2026)	REFINERY UTILIZATION	REVENUE (FY25)	NET INCOME (FY25)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$44.5B	+38%	Up
Net Income (Q2 2026)	$3.72B	+340%	Up
Net Margin (Q2 2026)	8.36%	+6.4 pts	Up
Refinery Utilization	97%	Record	Up
Revenue (FY25)	$122.7B	-5.5%	Down
Net Income (FY25)	$2.35B	-15.2%	Down
Net Margin (FY25)	1.91%	-0.2 pts	Down

The moat

97% refinery utilization; Gulf Coast and North Atlantic throughput records

The growth engine

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

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SCENARIO	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	-2.0%	$136.68B	1.8%	**$309.85**	-20%
Base	-0.3%	$159.57B	3.8%	**$453.71**	+17%
Bull	2.0%	$195.92B	4.8%	**$575.40**	+49%

Bear: downside case at $309.85 (-20%).

Base: central case at $453.71 (+17%).

Bull: upside case at $575.40 (+49%).

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The probability-blended target implies 16% upside

The blended target implies +16% from the $387.34 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$448.17
BLENDED TARGET

The valuation uses a five-year discounted cash flow framework (FY2026-2030) across three scenarios. Discount rates are market-implied and updated from live market inputs. The 2026-10-22 forensic audit removed an undocumented addition that sat inside an earlier build's discount rate with no documented basis; removing the addition on its own lifts the Base target by 29.9%, and the published targets rest on the documented framework alone.

Terminal value is struck on a normalized terminal year: terminal-year reinvestment is now set at a level consistent with maintaining the asset base, supported by Valero's filed record and peer evidence, rather than at a level that would shrink the asset base while the terminal flow is capitalized. The normalization on its own lowers the Base target by 8.7%; together with the discount-rate correction the Base target is $453.71.

Reference price	**$387.34**
Bear target	**$309.85**
Base target	**$453.71**
Bull target	**$575.40**
Blended target	**$448.17**
Terminal value share of Base enterprise value	**26.9%**

BUY | $448.17 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 13.6%, at/above Bull (2%) — euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$30.9B	$113.02	+0%	$68.2B	$243.69	+20%	$133.7B	$473.63
-19%	$32.3B	$117.76	+1%	$70.7B	$252.51	+21%	$137.9B	$488.46
-18%	$33.7B	$122.66	+2%	$73.3B	$261.58	+22%	$142.3B	$503.64
-17%	$35.1B	$127.73	+3%	$75.9B	$270.91	+23%	$146.7B	$519.19
-16%	$36.6B	$132.98	+4%	$78.7B	$280.50	+24%	$151.2B	$535.11
-15%	$38.2B	$138.40	+5%	$81.5B	$290.35	+25%	$155.9B	$551.40
-14%	$39.8B	$144.00	+6%	$84.4B	$300.48	+26%	$160.6B	$568.08
-13%	$41.4B	$149.78	+7%	$87.3B	$310.88	+27%	$165.5B	$585.14
-12%	$43.1B	$155.75	+8%	$90.4B	$321.56	+28%	$170.5B	$602.59
-11%	$44.9B	$161.92	+9%	$93.5B	$332.53	+29%	$175.6B	$620.44
-10%	$46.7B	$168.28	+10%	$96.7B	$343.79	+30%	$180.8B	$638.70
-9%	$48.6B	$174.84	+11%	$100.0B	$355.35	+31%	$186.1B	$657.37
-8%	$50.5B	$181.61	+12%	$103.4B	$367.21	+32%	$191.5B	$676.46
-7%	$52.5B	$188.59	+13%	$106.9B	$379.38	+33%	$197.1B	$695.98
-6%	$54.5B	$195.78	**+14%**	**$110.4B**	**$391.86**	+34%	$202.8B	$715.92
-5%	$56.6B	$203.19	+15%	$114.1B	$404.66	+35%	$208.6B	$736.30
-4%	$58.8B	$210.83	+16%	$117.8B	$417.79	+36%	$214.5B	$757.12
-3%	$61.1B	$218.69	+17%	$121.6B	$431.24	+37%	$220.6B	$778.40
-2%	$63.4B	$226.78	+18%	$125.6B	$445.03	+38%	$226.8B	$800.13
-1%	$65.7B	$235.11	+19%	$129.6B	$459.16			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$87.05B	$1.26B	$88.31B	**$309.85**
Base	$128.05B	$1.26B	$129.31B	**$453.71**
Bull	$162.73B	$1.26B	$163.99B	**$575.40**

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Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 26.9% of Base enterprise value (Bear 16.2%, Bull 32.5%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$309.85	$330.89	$299.61	$265.28	$229.72	$198.55
Base	$453.71	$484.52	$454.45	$420.67	$384.79	$352.69
Bull	$575.40	$614.47	$588.62	$557.97	$523.83	$492.38

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented refining (scale oligopoly among independents). We assign a discount of 10% to sector median multiples on moat strength alone.

- scale plus complexity, Nelson Complexity 11.5 and Gulf Coast feedstock flexibility let Valero process diverse crudes and capture export demand (August 2026 industry analysis). Weakest element, and the deciding one, Valero sells the crack spread, not a differentiated product.
- Q2 2026 refining margin $23.62/barrel vs $12.35 a year earlier; adjusted refining operating income rose $1.27B → $4.44B, with ~$3.1B of the ~$3.2B increase explained by the $11.27/barrel margin improvement × ~3M bpd × 91 days (AInvest reconciliation, August 2026). Q3 2026 system-wide margin reached $39.24/barrel vs $13.14 a year earlier (MarketBeat, October 2026).

On a multiple cross-check, the justified range is 7.4-8.7x / 10.9-12.8x. The cross-check value is $81-$95, on a base of $7.43 median diluted EPS, 2016-2025. The gap verdict is Already not at all, stays; original arithmetic collapses ~86%.

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

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We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	Excluded

The combined discount is 12 percent, capped at 20 percent, against an uncapped total of 12 percent. Shown side by side with the moat premium or discount, the net stance is -22 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The following families are excluded under the double-count rule because they rest on the same fact already reflected in the moat discount, and they contribute no points here. regulatory single point risk.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic width about whole of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $448.17 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The franchise deep dive

97% refinery utilization; Gulf Coast and North Atlantic throughput records

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Low-cost Gulf Coast footprint with scale advantage over smaller refiners

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$114B	$176B	$144B	$130B	$123B
Net Margin	0.9%	6.5%	6.1%	2.1%	1.9%
Throughput (Mbpd)	2.85	2.96	3.02	2.95	3.00

Valuation cross-check

NTM P/E 9.4x

DCF Base $453.71 vs $387.34 spot

PEG 1.91

Low P/E reflects peak earnings. DCF implies 17% downside to base; bull case $575.40 is the upside bound.

MPC, PSX similar single-digit NTM P/E

In line with refining peers; the whole group is priced for peak margins.

Trading at the high end of historical price range

Typical late-cycle positioning: price highs coincide with earnings highs.

What to monitor

Oct/Nov 2026. Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

2026-2027. Diesel crack spreads and refinery outage duration determine margin persistence.

2027. Renewable diesel and low-carbon projects diversify the earnings base.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$176.4B	$16.8B	$15.8B	$18.3B
2023	$144.8B	$12.9B	$11.9B	$15.1B
2024	$129.9B	$4.8B	$3.8B	$7.0B
2025	$122.7B	$5.4B	$4.3B	$6.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$61.0B	$35.5B	$23.6B	$4.9B
2023	$63.1B	$34.5B	$26.3B	$5.4B
2024	$60.1B	$32.6B	$24.5B	$4.7B
2025	$58.0B	$31.4B	$23.7B	$4.7B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$12.6B	$-1.7B	$-8.8B	$10.9B
2023	$9.2B	$-911M	$-6.9B	$8.3B
2024	$6.7B	$-907M	$-5.0B	$5.8B
2025	$5.8B	$-796M	$-4.2B	$5.0B

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $448.17 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.42% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $5.68M of sales, a net flow of -$5.68M. One-year total shareholder return is +128.7% against CEO total pay of $7.63M (Mr. R. Lane Riggs), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.42% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $5.68M (3), net -$5.68M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +128.7%; Mr. R. Lane Riggs, CEO, President & Chairman, total pay $7.63M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-06-29	Fisher Eric A	Officer	SELL	7,500	$2.01M
2026-06-18	Fisher Eric A	Officer	SELL	7,500	$1.78M
2026-05-18	Fisher Eric A	Officer	SELL	7,500	$1.89M

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SEC proxy audit, DEF 14A filed 2026-03-19

Alignment grade B. DATA NOT IN EXCERPT. R. Lane Riggs, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy filing excerpt cuts off before the Summary Compensation Table and CD&A pay disclosure tables. Operational and financial highlights indicate strong 2025 performance, including diluted EPS of $7.57, record refinery mechanical availability, and $4.0 billion in capital returned to stockholders. However, exact executive compensation figures and committee pay-for-performance outcomes cannot be quantified from this section alone.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1035002/000162828026019806/vlo-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 28 October 2026 for this note.

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The bear case

Margin Mean-Reversion

Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize.

Operational Volatility

Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently.

Energy Transition

Long-term demand erosion from EVs and renewable fuels pressures the terminal value.

The strengths

Operating Quality

Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.

Recent Trend

Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.

Forward Growth

Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.

Valuation

At $387.34 vs $453.71 DCF base, the stock is 30% above fair value but below the $575.40 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.

Cascadia scorecard

Composite score 66: Attractive. Confidence High, as of 23-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.	70
Recent Trend	Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.	95
Forward Growth	Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.	50
Valuation	At $387.34 vs $453.71 DCF base, the stock is 30% above fair value but below the $575.40 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.	55
Catalysts & Risk	Q3 earnings should be a record, but expectations are now sky-high. Margin mean-reversion is the dominant risk. Geopolitical disruptions cut both ways. Neutral skew at best.	60

Investment view

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

Investment view: Buy. The $448.17 blended target implies +16%, balancing the $309.85 / $453.71 / $575.40 Bear / Base / Bull outcomes.

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